

Hedging - for the company

Going back to the Income Statement, we do not find any significant item related to hedging. Thus we can conclude that hedging for this company is not a very significant item

The two variables faced by the company are crude oil prices and foreign currency exchange. The company only chooses to hedge the foreign currency exchange and not the raw materials. We also saw that the company does not have large losses.

This explains the hedging policy of the company and the use of derivatives and contracts. Some companies might use them for speculative purposes. However, most companies stay away unless they are financial companies.

To sum up, the questions that need to be asked are:

- ◇ Does the company have significant exposure to variables?
- ◇ Does the company hedge those exposures?
- ◇ How effective is the hedging?

In the next section, we will understand related party transactions.